FINAL EXAMINATION

Business Organizations

Buccola

Autumn 2024

1. This exam is five pages (including this cover page) and consists of three questions. The weight to be given to each question for grading purposes is indicated.

2. You have three hours to complete the exam.

3. The exam is open book. You may consult any materials you wish. But you may not use the internet.

4. There are no word limits. But recognize that my aim in grading will be to assess the extent to which answers indicate mastery of the law of business organizations. Offering extraneous ideas, complicating simple issues, or discussing matters not necessary or relevant to answering the question posed signals a weak grasp of what matters and thus a weak grasp of how the law works. At some margin you ought to focus on precision and clarity of expression rather than quantity of information.

5. Don't worry about citation formats. Assume that you are writing for a reader who is familiar with the texts assigned in the course syllabus but who has not thought carefully about the relationships among them or what they mean for the resolution of particular disputes.

6. The fact pattern in question 1 is inspired by recent, real-world events. The question is not, however, a test of your knowledge of those events. The prompt may differ in important respects from the events that inspired it, and you should not assume facts not in the prompt. Moreover, you should answer on the basis of statutory and case law assigned for, or otherwise discussed in, our course, not from the happenstance of your knowledge (if you have any) of the inspirational events.

7. Question 1 includes a (**bold**) summary of a Delaware statutory provision not assigned or discussed during our course. You should assume that the summary states Delaware law accurately.

Question 1
[60 points]

Until recently, Chirper LLC was a Delaware corporation known as Chirper, Inc.

Chirper, Inc., was founded in 2013 by a quirky programmer, Charlene Edgar-Ortiz (CEO), to offer independent journalists a way to spread news stories and opinion pieces. CEO hoped to disintermediate legacy publishing, which she viewed as something like, and as objectionable as, a cartel. Her idea was to credential as a so-called "citizen journalist" anyone willing to attest to being "committed to the truth" who would promise not to defame subjects or appropriate intellectual property. Credentialed citizen journalists would then "chirp" their output for subscribers to see.

Chirper found success quickly. Venture funding allowed the company to subsidize several big-name journalists who agreed to publish exclusively on the Chirper platform. The big names attracted subscribers, who found the search algorithm unusually effective, and the growing subscriber base in turn attracted more journalists.

Five years ago, Chirper went public. CEO wanted more funding to continue the company's growth, while the VCs wanted a way to exit their investments and lock in a return for their investors. As part of the IPO, all of the preferred shares converted into common shares (the only class of stock Chirper's new certificate of incorporation contemplated). Within 6 months, most of the VCs cashed out their positions at a handsome price. CEO held onto her shares and thus remained by far the biggest shareholder, with approximately 32% of the outstanding shares. The stock proved popular among retail investors. Large institutions such as Vanguard, Blackrock, State Street, and Fidelity have typically owned 25–30% of the outstanding shares—none individually holding more than approximately 5%. Dispersed retail investors (and employees) have held the balance.

The Chirper board has had remarkable continuity. The same 7 people have constituted the board since shortly after the IPO:

- CEO (Chair);

- Vanessa Coeur (VC1), partner at a venture capital firm that invested in Chirper and trusted adviser to CEO (has remained on the board despite her firm having sold its investment in the IPO; holds de minimis personal investment in Chirper);

- Victor Ceballos (VC2), partner at a venture capital firm that invested in Chirper and trusted adviser to CEO (has remained on the board despite his firm having sold its investment in the IPO; holds de minimis personal investment in Chirper);

- Esme Olivet (O1) (Secretary), heiress to the fortune of a publishing family who sold their famously contrarian magazine, *The Disbeliever*, in the early 2000s (director since 2020; introduced to CEO in 2019 as prospective board member of a public Chirper; holds approximately 0.5% of Chirper stock).

- Jacob Ortner (O2), retired lawyer and former commissioner of the Federal Communications Commission (director since 2020; introduced to CEO in 2019 as prospective board member of a public Chirper; holds de minimis Chirper stock);

- Andy Olam (O3), former COO of an online auction software company (director since 2020; introduced to CEO in 2019 as prospective board member of a public Chirper; holds de minimis Chirper stock); and

- Trey Owling (O4), runs a cyber security consulting business (director since 2020; introduced to CEO in 2019 as prospective board member of a public Chirper; holds de minimis Chirper stock).

Chirper's performance after the IPO drew mixed reviews. On one hand, the brand remained strong among the public. Chirping was no fad, it turned out. On the other hand, user growth slowed and financial returns remained elusive. Chirper no longer lost money on an operating basis, but profits were small. Some analysts began to opine that the company should be monetizing consumer attention better than it had done. The consensus analyst view chalked up anemic returns to CEO's principled unwillingness to charge citizen journalists for the megaphone that the Chirper platform effectively lends them. Indeed, the company's financial performance was poor enough that noted activist investor Albert Activist (AA), while disclaiming a position in Chirper, predicted in a CNBC interview that the company would have to start thinking about retooling or even selling to someone poised to execute on a more aggressive pricing strategy. But CEO has maintained that information should be free and that gatekeeping prospective journalists would recreate the incentives of legacy institutions she meant to disrupt in the first place. Advertising dollars would come.

At a board meeting in February, CEO raised an interesting idea. She had been talking to a lawyer friend about AA's criticism and had emphasized that she—CEO—would

never allow Chirper to charge citizen journalists and would simply buy the company herself if it ever came to that. The friend had warned that that might not be possible. "When you take other people's money," he had warned, "you owe them fiduciary duties." The exchange had surprised CEO and bothered her conscience, to the point that she began having trouble sleeping, worried about her project being undone by an impatient hedge fund that lacked long-term vision. After more conversations with the friend, CEO settled on a plan: change Chirper into a limited liability company identical to the current corporation in every respect—for example, outstanding shares would be exchanged 1-for-1 with membership units of the new entity and have identical financial and voting rights—except that the directors' and officers' duties of loyalty would be waived.

Note: Delaware allows corporations to convert into other forms of entity, including LLCs. DGCL § 266(a). In relevant respects, the requirements track those for amending a certificate of incorporation. The board of directors adopts a resolution to convert and an associated "plan of conversion" describing the new governing documents and the exchange of shares into new interests. If a majority of the shares entitled to vote subsequently approve the resolution, the company simply files a "notice of conversion" with the Secretary of State. Id. § 266(b).

After discussing the possibility of conversion for a couple of hours, all seven Chirper directors were in favor. The minutes of their meeting indicate that the board was keen to let CEO and her team focus on creating long-term impact without looking over their shoulders at investors who didn't understand what they were building. Owling hesitated in one respect. "Since the conversion will change our obligations," he offered, "we really should leave it up to *other* stockholders." All agreed. "And we should be sure to highlight for them how our their rights would change," Owling added. Once again the directors were unanimous, and they asked an in-house lawyer to begin drafting the paperwork.

With the company's annual meeting coming up in June anyway, the directors decided to add conversion to the agenda of business to be conducted, including the directors' own reelections, rather than call a special meeting. As Owling suggested, the proxy materials distributed to stockholders declared that the conversion would go forward only if a majority of the voting shares held by stockholders unaffiliated with any of the directors were to approve the proposal. The proxy materials also explained in general terms the significance of the fiduciary duty of loyalty in corporate law and included a copy of the plan of conversion as an appendix.

The vote was overwhelmingly in favor of conversion. Including the directors' shares, 84% of the outstanding shares voted, and 66% of the outstanding shares voted to approve (i.e., 79% of the voting shares were for conversion). Excluding the directors' shares, the outcome was closer but still lobsided. Approximately 65% of the *unaffiliated* shares were for conversion.

The next day, Olivet filed the statutorily required materials with the Secretary of State.

Now a stockholder—an Iowa firefighters' pension plan (PP) that voted against the proposal—has sued Chirper's directors in the Court of Chancery for their role in the conversion. How will a chancery judge think through the legal issues at stake?

Question 2
[20 points]

Legal texts such as statutes and judicial decisions do more than clarify doctrine. They also reflect principles, insights, and values (and tensions between the same) that recur thematically across doctrinal categories. Indeed, to the extent that enactment of a statute or announcement of a decision resolves legal ambiguity, it does so by emphasizing one principle or source of value over another. In this sense, even texts that speak to quite different concrete situations can disclose deep structure or development as well as intractable or perennial difficulties in a field of law.

In that spirit, please compare DGCL § 102(b)(7) with DGCL § 122(18).

Question 3
[20 points]

Please compare *In re Oracle Corp Derivative Litigation* with *Tri-State Pension Fund v. Zuckerberg*.